



BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, DISTRICT OF COLUMBIA

ROYAL WHITE CEMENT, INC.	§	
Complainant	§	
	§	
VS.	§	Docket No. 22-06
	§	
CMA CGM S.A. AND CMA CGM	§	
(AMERICA) LLC	§	
Respondents	§	

COMPLAINT FOR VIOLATION OF THE
SHIPPING ACT OF 1984, 46 U.S.C. §40101, et seq

Complainant Royal White Cement Inc. (sometimes referred to herein as “RWC” or “Complainant”) file this Complaint against Respondents CMA CGM S.A. and CGM CMA (America) LLC, (sometimes referred to herein as “CMA” or “Respondents”) for violation of the Shipping Act of 1984 and would allege as follows:

COMPLAINANT

1. Complainant RWC is a corporation organized and existing under the laws of the State of Illinois, with its principal place of business at 14601 Bellaire Boulevard, Houston, Texas, 77083. Its President is Marcel Fadi who is at said address and whose e-mail address is marcel@royalwhitecement.com. Complainant is represented by counsel identified below. RWC is as its name would indicate a company involved in the purchase of cement from suppliers including those in Egypt for import into the United States and resell to its customers under its brand name. RWC from experience has determined that shipment of cement from Egypt is best accomplished by use of “jumbo bags” loaded in containers as opposed to break bulk or other

forms of shipment.

RESPONDENTS

2. Respondent CMA CGM S. A. is a corporation or similar form of entity located at Blvd. Jacques Saade 4, Quasi d'Arenc, 13225 Marseilles, Cedex 02 , France which is its principal place of business. Contact known to Claimant is Delphine Bouvier, Line Manager Indamex and Line Manager Transat North & South. Direct Fax: 33 (0) 4 88 91 88 49.

3. Respondent CMA CGM (America) LLC is a limited liability company organized and existing under the laws of the State of New Jersey, with its principal place of business at 5701 Lake Wright Drive, Norfolk, Virginia 23502. CMA CGM (America) LLC is designated by CMA CGM S. A. as its designated agent in the United States of America. Contact known to Claimant is Charles A. Gender, Director Bids & Contracting. His e-mail address is usa.contract@usa.cma-cgm.com.

4. Respondents, separately or jointly are common carriers within the meaning of the Shipping Act of 1984, 46 U.S.C. § 40102 (7) and subject to regulation by the Federal Maritime Commission. Respondents contact in the U.S.A. is Charles A. Gender, Director Bids & Contracting. His e-mail address is usa.contracts@usa.cma-cgm.com

JURISDICTION AND LEGAL AUTHORITY

5. The FMC has subject matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984.

6. This Complaint is being filed pursuant to Section 11 (a) of the Shipping Act, 46 U.S.C. § 41301. RWC is seeking reparations for breach of contract by Respondents due to their violations of 46 U.S.C. § 41102 c.

7. The FMC has personal jurisdiction over respondents as "common carriers" as

defined by 46 U.S.C. § 40102 (7).

FACTUAL ALLEGATIONS

8. On May 11, 2021, the parties agreed and entered into Service Contract Number 21-0374, effective as of the date of filing and expiring on April 30, 2022. This was not the first service contract between the parties.

A. The contract was for the transportation of containerized cargoes from the Egyptian ports of Port Said and Damietta to the United States West Coast. The rate for carriage of the containers from Port Said was agreed to be a rate of \$2,175.00 per container and from Damietta at a rate of \$2,373.00 per container. The parties agreed that RWC would ship a minimum of 2000 containers total applying the above rates. Based on RWC's past history that amount of containers was easily attainable. The prior contract which expired in 2021 required RWC to ship a minimum of 1500 containers. During that contract RWC loaded 2843 containers; that is, 1343 containers more than the minimum required. This showed RWC's ability to meet, if not exceed, the 2000 container minimum in the contract relevant to this Complaint.

B. After the effective date of the agreement RWC attempted to book containers for shipment. But after 10 containers were transported, CMA refused to accept any bookings. This was after the market rates increased significantly for the shipment of containers, substantially over the agreed rates in the service contract. Although RWC repeatedly sought to book containers, such requests were rejected.

C. After continual refusal to load RWC's containers under the service contract, RWC contacted CMA again in an attempt to continue their business operations. CMA responded with the following: "Regret, booking decline! you know very well that no space unless it's under Tariff & wit max 4 teus!.Don't submit elsewhere!" In other words, you cannot book under the

service contract but under market rates. This was consistent with oral comments made to representatives of Complainant.

D.. On September 28, 2021, RWC approached CMA to load and transport one container from Damietta to Los Angeles and was provided an offer of \$6,750.00 per container which offer was accepted. The container was loaded and transported under such booking. In due course, RWC was ultimately billed \$6,814.00 for the shipment; that is a difference of \$4,639.00 per container.

E. RWC submits this confirmed to RWC that the rejection of the bookings under the contract terms were not done for a lack of availability of containers but done so CMA could carry containers at the higher market rates as opposed to carrying the containers of RWC at the contract rate. This not only could prevent RWC from meeting any minimal requirements but also caused substantial damages to RWC for which reparations are appropriate.

F. Shipment of 2000 containers at the contract rate from Port Said would be \$4,350,000.00. Shipment at the increased rate would be a difference of \$9,278,000.00 for 2000 containers and yield total charges to be paid by RWC of \$13,628,000.00.

G. Due to the refusal of CMA to honor the service contract and try to force RWC to pay over three times the agreed rate, RWC chose to not succumb to such approach and shipped the cement by alternative means with the precise measurement of damages being calculated upon receipt of all charges incurred regarding the shipments. Charges to date for alternative could exceed \$9,000,000.00.

CAUSATION

9.. Claimant submits that the Respondents refusal to accept bookings and provide equipment to accomplish such bookings under an agreed service contract was a clear and

conscious attempt to extract higher rates and charges to those contained in the service contract. Claimant submits not only did Respondents not accept bookings under the service contract there is will be evidence that Respondents would provide equipment if they agreed to ship outside of the contract at the market rate. As the main purpose of a service contract is to ensure availability of equipment at a rate by which a shipper can make reasonable calculations as to its costs, the subversion of the service contract created issues not only as to costs but as to Claimant's customers regarding contractual agreements and performance of those contracts by Claimant including having to locate cement from other sources.

10. Section 41102 c fo the Shipping Act of 1984 (46 U.S.C. § 42201c) prohibits as a common carrier such as Respondents from failing to "establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property."

11. Respondents practices and procedures relating to the acceptance of bookings and provision of equipment to Complainant under a service contract were contrary to the aforesaid provisions of the Shipping Act so a higher freight rate could be charged than contained in the Service Contract and were not just and reasonable practices or regulations as required by 46 U.S.C. § 41102 c.

12, Respondents are common carriers as defined by the Shipping Act as noted above.

DAMAGES

13. Respondent has been damages as it could not book shipments under the Service Contract as agreed and incurred substantial costs to ship its cargo by alternative means in an amount estimated at this time to be in the range of \$9,000,000,00

RELIEF SOUGHT

14. In addition to reparations for the damages sustained, Claimant submits Respondents should be subject to action and sanction by the FMC for its conduct and appropriate orders issued to enjoin or otherwise require Respondents to refrain from such actions as to Claimant or others in the position of Claimants and/or any other appropriate action the F.C. might consider to prevent Respondents and deter others from such actions.

ALTERNATIVE DISPUTE RESOLUTION

15. Claimant had tried on numerous occasions to discuss the situation and claim with Respondents but to no avail.

16. Claimant through counsel contacted the FMC on January 20 2022 regarding use of the FMC's Alternative Dispute Resolution Services and was instructed on how to initiate such contact with the FMC regarding such via e-mail. An e-mail was sent but as of today, no response has been received from the FMC.

ORAL HEARING

17. Respondent would request a hearing before the Federal Maritime Commission in either Houston, Texas or in Washington, D.C.

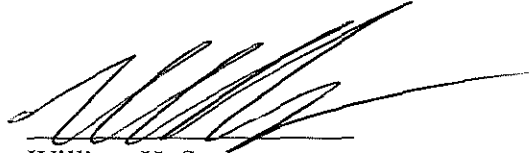
Wherefor, Claimant prays that Respondents:

1. Be required to appear and answer this Complaint;
2. That Respondents be found to have violated the Shipping Act of 1984 as to Claimant as pled herein;
3. That the F.C. issue such orders as are appropriate to enjoin, stop and deter Respondents from continuing the actions taken by Respondents as to Claimant and to require performance consistent with the Service Contract between the Parties.
3. That reparations be awarded to Claimant for the damages sustained as result of

Respondents' violations of the Shipping Act of 198; and

4. Such other and further relief which Claimant might show itself to be entitled..

Respectfully submitted

A handwritten signature in black ink, appearing to read 'W. Seele', with a long horizontal flourish extending to the right.

William H. Seele

Julian & Seele, P.C.

Texas State Bar No. 17979700

1220 Blalock Road, Suite 160

Houston, Texas 77055-6473

Telephone: 713 464 1336

Telefax; 713 264 1283

E-mail: wseele@julianandseele.com

Attorneys for Claimant

Royal White Cement, Inc.

STATE OF TEXAS §
COUNTY OF HARRIS §

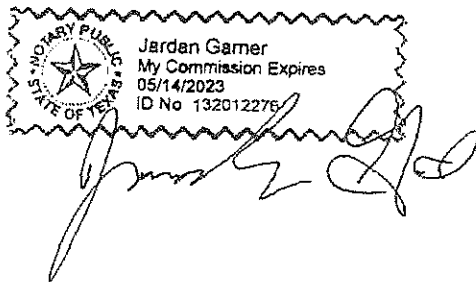
Verification

Marcel Fadi , after first being duly sworn state that I am over 18 years of age and competent and able to make this Verification. I am the President of Royal White Cement Inc, the Claimant and I have read the foregoing Complaint and that upon my oath state that I believe the facts stated therein to be true and correct upon my own personal knowledge as well as information received from employees and representatives of Royal White Cement Inc,, information from documents and communications I have reviewed and from publicly available information.



Marcel Fadi

SWORN TO AND SUBSCRIBED before me the undersigned notary on this the 24 day of February, 2022.



Jordan Garner
Notary Public in and for the
State of Texas
Notary ID No. 132012276

My Commission Expires: 05/14/2023